LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Sale & Lease Back (SLB)?

Developed by www.loanbazaaronline.com

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Module 1: Product Overview & Core Fundamentals

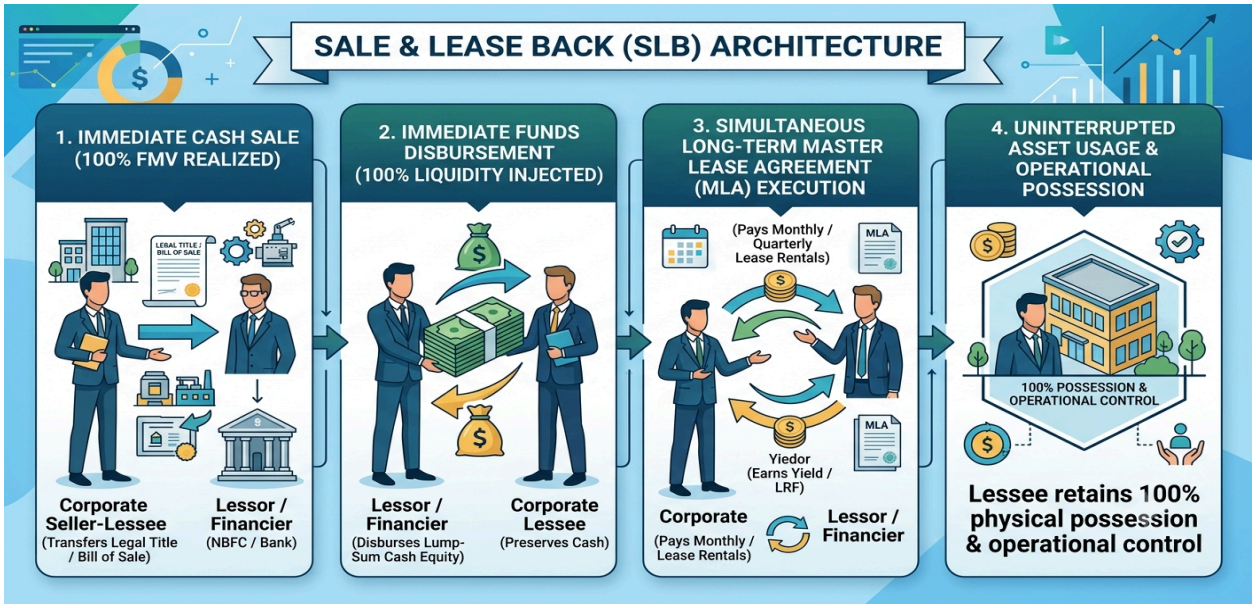
1.1 Definition & Fundamental Mechanism

Sale and Leaseback (SLB), commonly referred to as a Sale-Leaseback transaction, is an advanced corporate structured finance mechanism wherein an asset owner (the Corporate Seller-Lessee) sells an existing, operational, unencumbered (or debt-refinanced) capital asset to an institutional financier or leasing company (the Lessor) for an immediate lump-sum cash consideration equal to the asset's Fair Market Value (FMV) or appraised realizable value. Simultaneously, and as an inseparable single transaction, the Lessor leases the exact same asset back to the Seller-Lessee under a long-term Master Lease Agreement (MLA).

Through this dual mechanism, the enterprise accomplishes two primary strategic financial objectives concurrently: 1. **Immediate Capital Monetization:** It converts illiquid, tied-up fixed asset equity into 100% liquid, unencumbered working capital or growth capital on day one without selling off the business or diluting promoter equity. 2. **Uninterrupted Operational Continuity:** It retains 100% uninterrupted possession, operational control, and commercial usage of the asset at its existing factory, facility, or commercial site throughout the entire lease tenure.

From a balance sheet perspective, Sale and Lease Back bridges the gap between fixed-asset-heavy balance sheets and liquidity-constrained cash flow profiles. Rather than keeping capital locked in long-term plant machinery, real estate, or transportation fleets, SLB monetizes these historical capital expenditures (Capex), transforming fixed assets into a recurring source of liquidity while shifting asset ownership to an institutional balance sheet that is better positioned to hold asset ownership risks.

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1.2 Distinction Between SLB Operating Lease vs. SLB Financial Capital Lease

In the Indian financial landscape, Sale and Lease Back transactions are structured under two distinct legal, accounting, and tax frameworks depending on whether the underlying transaction qualifies as an **Operating Lease** or a **Financial Capital Lease** under Indian Accounting Standard 116 (Ind AS 116) and the Income Tax Act, 1961:

1. **SLB Operating Lease Structure:**
   - **Risk & Reward Allocation:** Substantial risks and rewards incident to legal ownership of the asset are transferred to the Lessor. The Lessor assumes residual value (RV) risk at lease expiry.
   - **Lease Tenure Horizon:** Typically covers 50% to 75% of the asset's certified remaining economic useful life.
   - **End-of-Lease Settlement:** At lease expiry, the lessee returns the asset to the lessor, extends the lease at prevailing market rates, or purchases the asset at Fair Market Value (FMV).
   - **Tax & P&L Treatment:** 100% of recurring lease rental payments are fully deductible as operational business expenses under Section 37(1) of the Income Tax Act, 1961, providing a powerful cash tax shield.
2. **SLB Financial Capital Lease Structure:**
   - **Risk & Reward Allocation:** Virtually all risks and rewards incident to ownership (maintenance, insurance, obsolescence) remain with the Lessee.
   - **Lease Tenure Horizon:** Spans the major part (75% to 90%+) of the asset's economic useful life.

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- **End-of-Lease Settlement:** Contains a pre-agreed Bargain Purchase Option (BPO) or nominal transfer fee (e.g., 1% to 5% of original cost) transferring legal title back to the Lessee upon lease completion.
- **Tax & P&L Treatment:** The Lessee capitalizes the Right-of-Use (ROU) Asset and Lease Liability on its balance sheet under Ind AS 116. Tax deductions comprise the interest element under Section 36(1)(iii) and tax depreciation on the asset block under Section 32.

1.3 Historical Evolution in Indian Corporate Credit & Asset Monetization

Historically, Indian corporates relied heavily on traditional bank borrowing facilities—primarily Commercial Capex Term Loans, Cash Credit (CC) limits, and Working Capital Demand Loans (WCDL)—to fund business expansion. However, these traditional facilities suffered from structural limitations: - **LTV Collateral Haircuts:** Banks typically mandate a 25% to 40% promoter cash margin / LTV haircut, restricting funding to 60%–75% of asset value. - **Encumbrance & Negative Pledges:** Bank term loans create blanket hypothecation charges over all current and fixed assets, constraining future borrowing flexibility. - **Working Capital Debt Locks:** Short-term working capital facilities (CC/OD) are tied to inventory and receivables, leaving long-term fixed asset equity trapped.

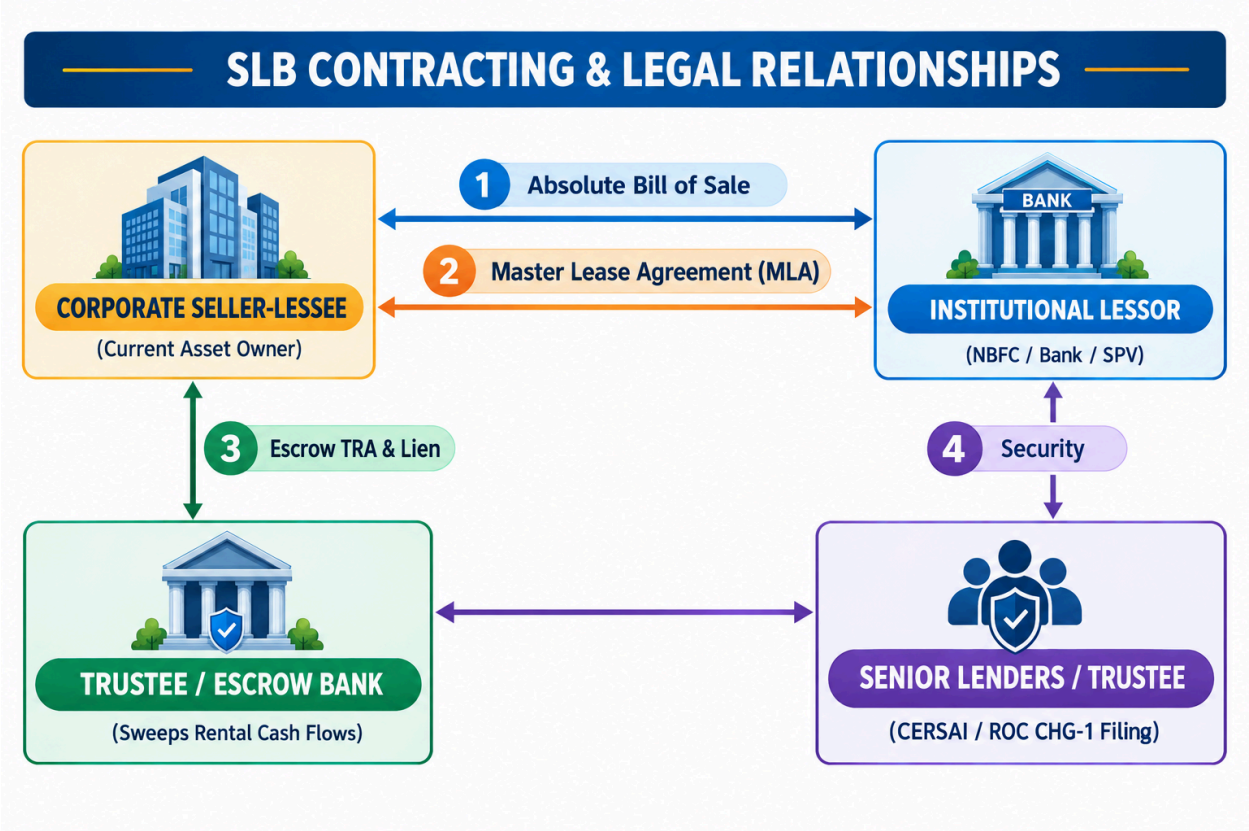
With the liberalization of Indian financial markets, the establishment of Non-Banking Financial Companies (NBFCs), Infrastructure Finance Companies (NBFC-IFCs), and specialized leasing arms of institutional banks (e.g., Tata Capital, ICICI Bank, Axis Bank, Bajaj Finserv, SBI Financial Services), Sale and Lease Back emerged as a primary asset monetization vehicle. Furthermore, regulatory updates—including the enactment of the Insolvency and Bankruptcy Code (IBC) 2016, the enforcement of Ind AS 116 in 2019, and Reserve Bank of India (RBI) Directions on Securitization and Asset Classification—have institutionalized SLB as a prime structured finance tool used by Tier-1 corporates, mid-market manufacturers, infrastructure concessionaires, and logistics operators across India.

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Module 2: Structural Architecture & Transaction Workflow

2.1 The Tripartite & Bipartite Contracting Ecosystem

A Sale and Lease Back transaction involves a tightly integrated legal and financial architecture. Depending on whether the asset is unencumbered or currently financed under an existing bank term loan, the transaction follows either a Bipartite or Tripartite structure:



Key Stakeholders & Legal Roles:

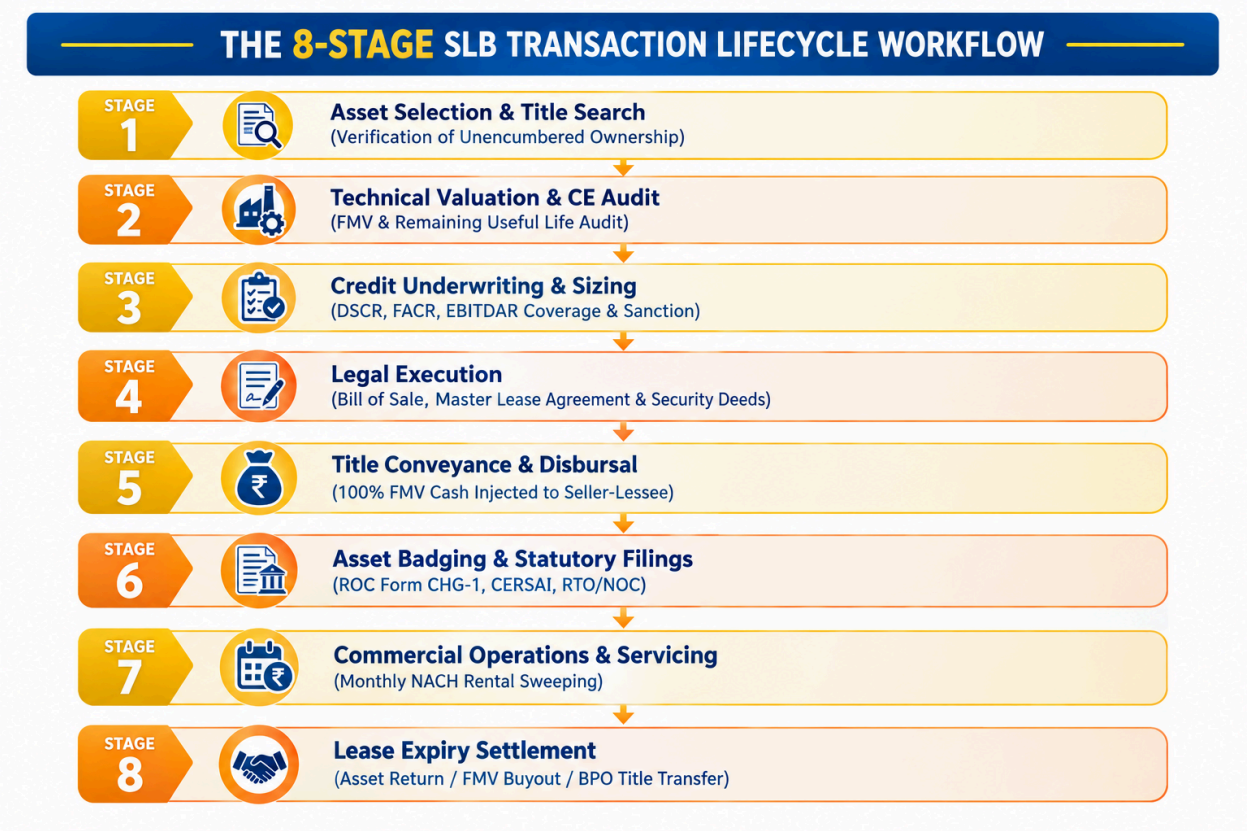
1. **Corporate Seller-Lessee:** The corporate entity that owns the physical asset (plant machinery, real estate, vehicle fleet, hardware) and seeks to monetize its equity while retaining operational usage.
2. **Institutional Lessor (NBFC / Bank / Leasing SPV):** The financial institution that purchases legal title to the asset via a Bill of Sale and leases it back to the corporate entity under a Master Lease Agreement.
3. **Escrow Agent / Account Bank:** Manages the Trust and Retention Account (TRA) or Escrow Account into which corporate operating revenues or lease rentals are deposited to ensure seamless, automated debt servicing via NACH mandates.
4. **Chartered Engineer / Independent Valuer:** Certified technical audit firm that conducts physical inspections, assesses asset operating condition, verifies remaining useful life, and issues a formal Valuation Certificate determining Fair Market Value (FMV) and Realizable Value.

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5. **Debenture Trustee / Security Trustee:** Represents senior lenders or debenture holders if the Lessor finances its leasing portfolio via Non-Convertible Debentures (NCDs) or syndicated debt.

2.2 Step-by-Step Asset Transfer Mechanics & Workflow

Executing an SLB transaction follows an 8-stage operational and legal lifecycle:



1. **Stage 1: Asset Selection & Legal Title Search:** The Corporate identifies unencumbered (or partially debt-encumbered) capital assets on its fixed asset register. Legal counsel conducts a comprehensive 30-year title search for real estate or verifies original equipment purchase invoices, customs clearance documents, and NOCs from existing consortium lenders.
2. **Stage 2: Technical Asset Valuation & Chartered Engineer Audit:** A certified Chartered Engineer (CE) conducts an on-site physical inspection. The CE evaluates asset maintenance history, operational uptime, replacement cost, residual value curve, and certifies that the asset's remaining economic useful life exceeds the proposed lease tenure by at least 1.5x.
3. **Stage 3: Credit Underwriting, Cash Flow Sizing & Sanction Issuance:** The Lessor's risk committee evaluates the corporate lessee's creditworthiness, analyzing DSCR, FACR, EBITDAR coverage, and CIBIL Commercial Rank (CMR). Upon approval, an official SLB Sanction Letter is issued specifying the purchase price, Monthly Lease Rate Factor (LRF), tenure, security deposit, and covenants.
4. **Stage 4: Documentation Execution:** The parties execute the core transaction legal documents:

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- *Absolute Bill of Sale / Title Deed Conveyance:* Transfers legal ownership of the asset from Seller to Lessor.
- *Master Lease Agreement (MLA) & Individual Lease Schedules:* Establishes lease terms, LRF, maintenance SLAs, and default covenants.
- *Escrow & Security Agreements:* Sets up NACH mandates, corporate guarantees, and TRA escrow mechanisms.

5. **Stage 5: Capital Disbursement & Title Conveyance:** The Lessor disburses 100% of the agreed purchase price directly to the Seller-Lessee's designated corporate bank account (or pays off the existing term loan lender to obtain a Deed of Reconveyance / Charge Satisfaction NOC). Legal title passes to the Lessor.
6. **Stage 6: Asset Badging & Statutory Security Filings:** The asset is physically badged with metal nameplates stating *"Property Owned by [Lessor Name] - Leased to [Lessee Name]"*. Statutory filings are completed: **ROC Form CHG-1** is filed within 30 days under Section 77 of the Companies Act 2013, registration on the **CERSAI** portal is completed, and **NeSL** Information Utility records are updated.
7. **Stage 7: Commercial Operations & Rental Servicing:** The Lessee continues operating the asset without interruption. On the 1st of every month, lease rentals are automatically swept from the Lessee's account to the Lessor via NACH / RTGS escrow mandates.
8. **Stage 8: End-of-Lease Settlement:** Upon lease maturity, depending on the agreed structure:
   - *Operating Lease SLB:* Lessee returns the asset, extends the lease, or exercises a Fair Market Value (FMV) buyout.
   - *Financial Capital Lease SLB:* Lessee exercises a Bargain Purchase Option (BPO) or nominal transfer fee (e.g., ₹10,000 / 1% of cost), receiving an absolute Bill of Sale and Form CHG-4 charge satisfaction certificate from the Lessor.

2.3 Asset Valuation Benchmarks & Appraisals

Determining the accurate purchase price in an SLB transaction is critical to prevent over-leveraging and satisfy tax/accounting audits: - **Written Down Value (WDV) Book Value:** The historical net book value appearing on the corporate balance sheet after accumulated depreciation under Section 32 of the Income Tax Act, 1961. - **Fair Market Value (FMV):** The price at which the asset would change hands between a willing buyer and a willing seller in an arm's length transaction. FMV is determined by independent valuation firms using Income, Cost, and Market Comparable Approaches. - **Realizable / Distress Value:** The estimated net liquidation value if the asset were sold under forced liquidation conditions within a 60-to-90 day horizon. Lessors typically cap SLB funding at **80% to 100% of FMV** or **110% to 125% of Distress Value**.

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Module 3: Comparative Capital Architecture Matrix

To enable corporate finance professionals and CFOs to evaluate Sale and Lease Back (SLB) against alternative debt and equity structures, the high-density matrix below compares **SLB Operating Lease**, **SLB Financial Capital Lease**, **Commercial Term Loan (Asset Refinance)**, **Loan Against Property (LAP) / Equipment Hypothecation**, **Revolving Cash Credit (CC/OD)**, and **Unsecured Corporate Debt** across 11 core financial parameters.

Architectural Parameter	SLB Operating Lease Structure	SLB Financial Capital Lease	Commercial Term Loan (Refinance)	Loan Against Property (LAP)	Revolving Cash Credit (CC/OD)	Unsecured Corporate Debt
1. Primary Purpose	100% Asset Monetization & Off-Balance Sheet Liquidity	100% Long-Term Asset Refinance & Capital Preservation	Capital Refinance against Existing Debt	Real Estate Equity Monetization	Day-to-Day Working Capital Gap Funding	Short-Term Liquidity & Growth Funding
2. Legal Title Ownership	Transferred to Lessor (100% Lessor Ownership)	Transferred to Lessor (Re-conveyed at Maturity via BPO)	Retained by Borrower (Bank Holds Hypothecation Charge)	Retained by Borrower (Bank Holds Mortgage Charge)	Retained by Borrower (First Charge on Current Assets)	Retained by Borrower (Unsecured / No Title Charge)
3. Upfront Cash Equity Margin	**0% Cash Margin** (100% FMV Disbursed to Corporate)	**0% Cash Margin** (100% Realizable Value Disbursed)	**20% - 30% Down Payment** (70%-80% LTV Sizing)	**30% - 50% Haircut Margin** (50%-70% LTV Sizing)	**25% Margin** on Stock & Book Debt Drawing Power	**0% Down Payment** (Based purely on Cash Flow)
4. Max Funding / Liquidity Sizing	**100% of Fair Market Value (FMV)**	**90% - 100% of Realizable Asset Value**	**65% - 80% of Appraised Asset Cost**	**50% - 65% of Appraised Property Market Value**	Drawing Power Formula Capped (Stock + Debtors Less Creditors)	0.5x - 1.5x Annual EBITDA Cap

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Architectural Parameter	SLB Operating Lease Structure	SLB Financial Capital Lease	Commercial Term Loan (Refinance)	Loan Against Property (LAP)	Revolving Cash Credit (CC/OD)	Unsecured Corporate Debt
5. Indicative Tenure Horizon	3 to 7 Years (Capped at 75% Economic Life)	3 to 10+ Years (Matches Full Useful Life)	3 to 7 Years (Amortizing Debt Schedule)	7 to 15 Years (Long-Term Amortization)	1 Year Annual Renewable Facility	1 to 3 Years (Bullet / Quarterly Repayment)
6. Commercial Pricing / Cost	Monthly LRF (1.25% - 1.85%/mo); Yield 10.0% - 12.5%	Monthly LRF (1.35% - 1.95%/mo); Yield 10.5% - 13.0%	EBLR / Repo + 2.50% - 4.50% (9.50% - 11.50% p.a.)	Repo + 3.00% - 5.50% (10.0% - 12.5% p.a.)	Repo + 2.00% - 4.00% (9.00% - 11.00% p.a.)	13.0% - 18.0% p.a. Fixed / Floating Yield
7. Primary Collateral Security	Ownership Title to Asset + Bill of Sale + TRA Escrow	Ownership Title + Bill of Sale + TRA Escrow	First Hypothecation Charge over Asset + Personal Guarantee	First Equitable Mortgage over Immovable Property (Sec 58f)	First Charge on Inventory & Sundry Debtors	Unsecured / Negative Pledge & Financial Covenants
8. Income Tax Shield Mechanism	**Section 37(1) 100% Tax-Deductible Lease Rentals**	Section 32 WDV Depreciation + Section 36(1)(iii) Interest	Section 32 WDV Depreciation + Section 36(1)(iii) Interest	Section 36(1)(iii) Interest Deduction Only	Section 36(1)(iii) Interest Deduction Only	Section 36(1)(iii) Interest Deduction Only
9. GST Treatment & ITC (Sec 16)	GST Charged on Sale & Rentals (18%/28%); **100% ITC Recovery**	GST Charged on Sale & Rentals; **100% ITC Recovery**	GST Paid on Original Invoice; Loan Exempt from GST	GST Exempt (Financial Credit Transaction)	Exempt from GST (Interest Income Exempt)	Exempt from GST (Interest Income Exempt)
10. Ind AS 116 Balance Sheet Impact	ROU Asset & Lease Liability	ROU Asset & Lease Liability Capitalized	On-Balance Sheet Senior	On-Balance Sheet	Short-Term Current Liability	Unsecured Senior Debt Liability On-Balance Sheet

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Architectural Parameter	SLB Operating Lease Structure	SLB Financial Capital Lease	Commercial Term Loan (Refinance)	Loan Against Property (LAP)	Revolving Cash Credit (CC/OD)	Unsecured Corporate Debt
	Capitalized (Low-Value Exempt)		Term Debt Liability	Mortgage Debt Liability	On-Balance Sheet	
11. Impact on Bank Credit Lines	**ZERO Impact on Bank Borrowing Limits**	**ZERO Impact on Bank Borrowing Limits**	Consumes Bank Credit & Consortium Exposure Caps	Consumes Real Estate Mortgage Collateral Capacity	Consumes Primary Working Capital Banking Exposure	Consumes Overall Corporate Credit Rating Capacities

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Module 4: Common Eligibility Criteria & Underwriting Guidelines

4.1 Quantitative Financial Underwriting Metrics

Lending institutions, NBFCs, and leasing platforms evaluate corporate SLB proposals through rigorous quantitative credit filters to ensure debt service sustainability:

QUANTITATIVE CREDIT & UNDERWRITING BENCHMARKS		
1. Fixed Asset Coverage Ratio (FACR)	===>	Target: >= 1.25x - 1.50x
2. Debt Service Coverage Ratio (DSCR)	===>	Target: >= 1.25x - 1.35x
3. EBITDAR Rental Coverage Ratio	===>	Target: >= 1.50x - 1.75x
4. Total Outside Liabilities to Net Worth	===>	Target: <= 3.00x
5. Current Ratio (CR)	===>	Target: >= 1.25:1
6. Debt-to-EBITDA Ratio	===>	Target: <= 3.50x

Detailed Benchmark Analysis:

1. **Fixed Asset Coverage Ratio (FACR):**

$extFACR = racextNetAppraisedFairMarketValueofSLBAssetsextTotalSLBLeaseFacilityAmount1.25xextto1.$

Ensures that the appraised liquidation value of the asset provides a minimum 20% to 33% collateral cushion over the lease facility amount.

2. **Debt Service Coverage Ratio (DSCR):**

extDSCR=racextEBITDA+extLeaseRentalsextInterest+extPrincipalDebtRepayments+extSLBLeaseRentals1.25xextto1.35x

Measures the enterprise's ability to cover total debt service and lease rental commitments out of operational cash flows.

3. **EBITDAR Rental Coverage Ratio:**

$extEBITDARCoverage = racextEBITDA + extSLBLeaseRentalsextSLBLeaseRentals \geq 1.50xextto1.75x$

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Isolates the cash flow cushion available specifically to service the new lease rental obligations before tax and interest outlays.

4. **Leverage & Solvency Ratios:**
   - **TOL / TNW (Total Outside Liabilities to Tangible Net Worth):** Capped at $\leq 3.00x$ to ensure the corporate is not over-leveraged.
   - **Debt-to-EBITDA:** Capped at $\leq 3.50x$ across mid-market corporates and $\leq 4.50x$ for infrastructure assets.

4.2 Qualitative Scorecard & Asset Quality Filters

Beyond financial metrics, underwriters apply stringent qualitative criteria to the asset and borrower entity:



1. **Asset Legal Title & Encumbrance Status:** The asset must be 100% owned by the Corporate Seller-Lessee with clean, marketable title. If currently pledged to a bank consortium under a term loan, the existing lender must issue a formal No Objection Certificate (NOC) and Deed of Release of Charge against direct payout from SLB proceeds.
2. **Remaining Economic Useful Life Audit:** A Chartered Engineer must certify that the asset's remaining operational life exceeds the proposed lease tenure. For instance, a 5-year SLB lease requires a certified remaining asset life of at least 7.5 to 10 years.

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3. **Asset Re-marketability & OEM Liquidity Tiering:** Assets manufactured by Tier-1 OEMs (e.g., Caterpillar, Komatsu, Tata Hitachi, Siemens, TRUMPF, DMG Mori, GE, Philips, Maruti, Tata Motors) command 100% LTV funding due to robust secondary resale markets. Custom-built, proprietary, or highly specialized machinery receives 15%–25% valuation haircuts.
4. **Corporate Credit Rating & Track Record:** Minimum external credit rating of **CRISIL / ICRA / CARE / FITCH BBB-** (Investment Grade) for mid-market corporates, or a CIBIL Commercial Rank of **CMR 1 to CMR 4**. Promoters must demonstrate at least 3 to 5 years of successful operating track record in the core industry.

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Module 5: Security Architecture, Documentation & Legal Framework

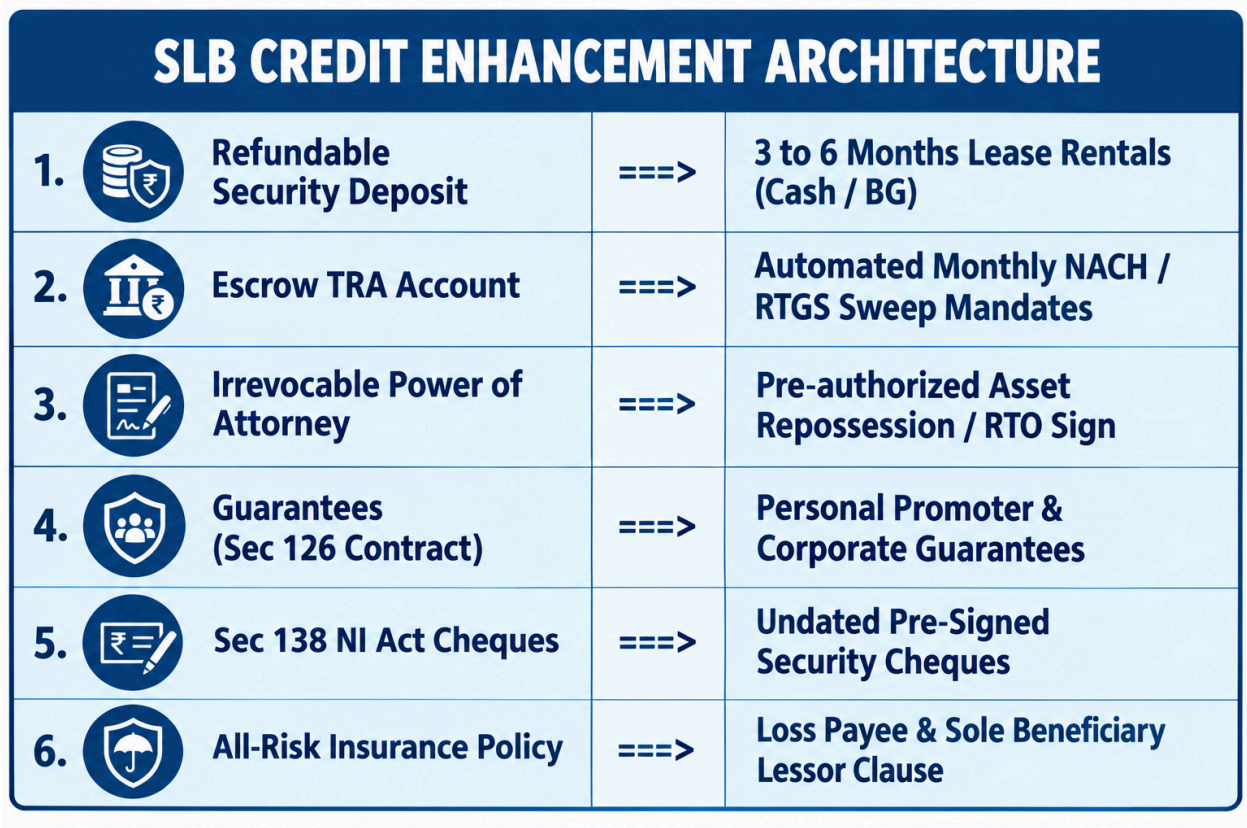
5.1 Primary Security & Ownership Conveyance Documents

In a Sale and Lease Back transaction, security relies on legal ownership rather than a secondary mortgage or hypothecation charge. The legal architecture is built on three core pillars:

1. **Absolute Bill of Sale / Conveyance Deed:** The primary legal contract transferring absolute ownership, title, and property rights in the physical asset from the Seller-Lessee to the Lessor for the agreed purchase consideration.
2. **Master Lease Agreement (MLA) & Equipment Schedules:** The governing lease contract establishing lease tenure, Monthly Lease Rate Factor (LRF), rental payment dates, late payment penalties, maintenance obligations, insurance covenants, and event of default remedies.
3. **Asset Badging & Physical Inspection Rights:** Contractual right of the Lessor to affix permanent, tamper-evident metal plates on all leased machinery, equipment, or vehicles stating: *"Property Owned by [Lessor Name] - Subject to Master Lease Agreement dated [Date]"*.

5.2 Collateral Enhancements & Credit Covenants

To mitigate credit and cash flow default risks, Lessors mandate structured credit enhancements:



1. **Refundable Cash Security Deposit:** Corporate Lessee deposits 3 to 6 months of lease rentals

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upfront with the Lessor, which is held as liquid security throughout the lease tenure and refunded upon successful completion or adjusted against final lease rentals.

2. **Trust and Retention Account (TRA) / Escrow Sweeping:** Operating revenues from the Lessee's key customers are routed through a designated Escrow TRA account managed by an Escrow Bank. On the 1st of every month, lease rentals are automatically swept to the Lessor before surplus cash is released to the corporate borrower.
3. **Irrevocable Power of Attorney (PoA):** Lessee grants the Lessor an irrevocable PoA empowering the Lessor to repossess, transport, re-lease, or sell the asset in the secondary market immediately upon an Event of Default without requiring a court injunction.
4. **Personal & Corporate Guarantees:** Promoters execute unconditional, irrevocable personal guarantees under Section 126 of the Indian Contract Act, 1872, creating joint and several liability.
5. **Security Cheques & NACH Mandates:** Lessee provides electronic NACH auto-debit mandates along with pre-signed security cheques under Section 138 of the Negotiable Instruments Act, 1881, and Section 25 of the Payment and Settlement Systems Act, 2007.
6. **Property All-Risk & Business Interruption Insurance:** Asset is insured for 110% of replacement value under a Property All-Risk / Commercial Vehicle / CPM Policy with the Lessor endorsed as the Sole Loss Payee and First Beneficiary.

5.3 Statutory Registration & Regulatory Compliance

To enforce legal title against third-party creditors and statutory authorities, SLB transactions require three mandatory statutory filings:

1. **ROC Form CHG-1 Filing (Companies Act, 2013):** Under Section 77 of the Companies Act, 2013, if the transaction creates any charge, mortgage, or financial interest on corporate properties, or if an existing bank charge is modified/released, **Form CHG-1 must be filed with the Registrar of Companies (ROC) within 30 days** of creation.
2. **CERSAI Portal Registration:** The transaction is registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002. CERSAI registration establishes public legal notice, preventing the corporate from fraudulently re-pledging the leased asset to another bank.
3. **NeSL Information Utility Recordation:** Financial debt and lease terms are filed with the National E-Governance Services Limited (NeSL) Information Utility under the Insolvency and Bankruptcy Code (IBC), 2016. NeSL authentication serves as conclusive legal proof of financial default during NCLT insolvency proceedings.

5.4 Insolvency Protections Under IBC 2016

A major structural advantage of an SLB Operating Lease is its protection under the Insolvency and Bankruptcy Code (IBC), 2016: - **Exemption from Moratorium (Section 14):** Under Section 14(1)(d) of IBC

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2016, during the Corporate Insolvency Resolution Process (CIRP), the moratorium restricts recovery of property occupied by the debtor. However, because legal title to an SLB leased asset is owned by the third-party Lessor, the Resolution Professional (RP) cannot absorb the asset into the debtor's liquidation estate. - **Insolvency Resolution Process Costs (IRPC) Priority (Section 5(13)):** If the RP continues using the SLB leased asset to keep the corporate debtor as a going concern during CIRP, recurring lease rentals qualify as Insolvency Resolution Process Costs under Section 5(13) of IBC 2016, securing **top-tier payment priority** out of operational realization before any distribution to senior financial creditors under Section 53.

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Module 6: Indicative Tenures, Commercial Pricing Mechanics & LRF Formulas

6.1 Indicative Tenure Horizons Across Asset Classes

Lease tenures in SLB transactions are calibrated against the asset class, technical depreciation rate, and remaining economic life:

+



6.2 Commercial Pricing Mechanics & Lease Rate Factors (LRF)

Pricing in SLB transactions is expressed as a **Monthly Lease Rate Factor (LRF)**. The LRF represents the total monthly lease rental payment expressed as a percentage of the initial asset purchase consideration:

- **Monthly Lease Rate Factor (LRF) Formula:**

$extMonthlyLRF(\%) = (racextMonthlyLeaseRentalPayment(INR)extTotalAssetPurchasePrice(100\%FMVinIN$

Mathematical Sizing of LRF:

The LRF is derived using annuity compounding equations based on the Lessor's Cost of Funds (K_f), Credit Risk Spread (S_{cr}), Operating Overhead (O_m), Depreciation Tax Shields (T_s), and Discounted Residual Value (RV):

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$$extMonthlyRental(R) = racP - racRV(1 + k)^{n}[rac1 - (1 + k)^{-n}kight]$$

Where: - P = Initial Asset Purchase Consideration (100% FMV in INR) - RV = Expected Residual Value at lease expiry in INR - k = Monthly discount rate = $rac{ ext{Annual Target Yield}}{12}$ - n = Total lease tenure in months

Benchmark LRF Pricing Ranges in India:

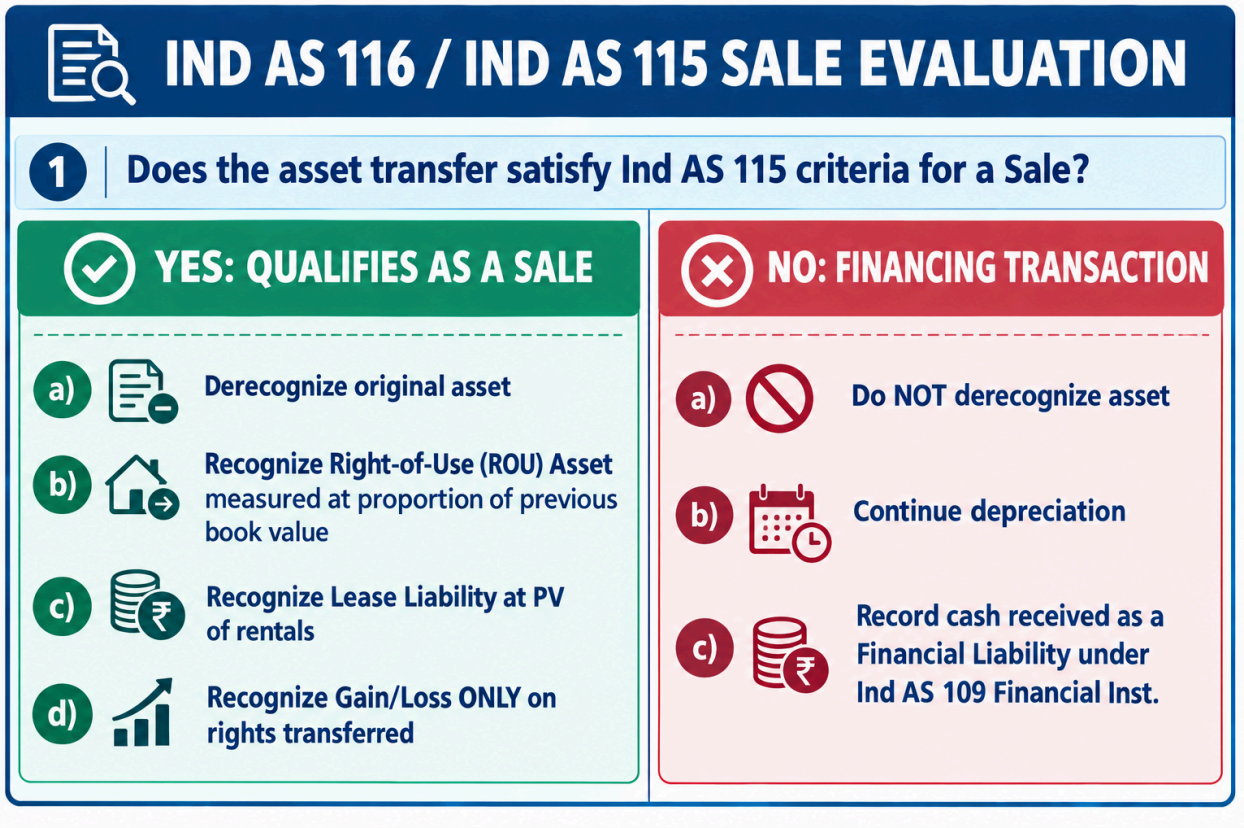
- **3-Year IT / Hardware SLB:** Monthly LRF of **2.95% to 3.25%** per month (e.g., ₹10 Cr funding = ₹29.5L to ₹32.5L/month).
- **5-Year Machinery / Plant SLB:** Monthly LRF of **1.85% to 2.15%** per month (e.g., ₹50 Cr funding = ₹18.5L to ₹21.5L/month).
- **7-Year Infrastructure / Real Estate SLB:** Monthly LRF of **1.35% to 1.65%** per month (e.g., ₹100 Cr funding = ₹1.35 Cr to ₹1.65 Cr/month).

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Module 7: Accounting Standards (Ind AS 116 / AS 19), Tax Shields & GST Optimization

7.1 Accounting Treatment Under Ind AS 116 for SLB Transactions

Effective April 1, 2019, Indian Accounting Standard 116 (Ind AS 116) replaced Ind AS 17, substantially altering the accounting for Sale and Leaseback transactions. Under Ind AS 116, the accounting for an SLB depends on whether the transfer of the asset qualifies as a **"Sale"** under Ind AS 115 (*Revenue from Contracts with Customers*):



Detailed Accounting Rules:

1. **If Transfer Qualifies as a Sale (Ind AS 115 Satisfied):**
   - **Seller-Lessee Accounting:** The corporate Seller-Lessee derecognizes the underlying asset from its balance sheet. It recognizes a **Right-of-Use (ROU) Asset** measured as the proportion of the previous carrying amount that relates to the rights retained. It recognizes a **Lease Liability** measured at the present value of future lease payments discounted at the incremental borrowing rate.
   - **Partial Gain Recognition:** Any gain or loss on sale is recognized **only to the extent of the rights transferred to the Lessor**. The proportion of gain relating to the rights retained by the lessee is adjusted against the ROU Asset.

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2. **If Transfer Does NOT Qualify as a Sale (Failed Sale / Finance Transaction):**
   - The Seller-Lessee does **not** derecognize the asset and continues depreciating it under existing accounting policies.
   - The cash consideration received from the Lessor is accounted for as a **Financial Liability** (borrowing) under Ind AS 109.

7.2 Income Tax Shields & Capital Gains Treatment Under Income Tax Act 1961

The tax treatment of SLB transactions under the Income Tax Act, 1961, provides strategic fiscal advantages:

1. **Section 37(1) Tax Deduction on Operating Lease Rentals:** In a bona fide SLB Operating Lease, 100% of recurring lease rental payments are fully deductible as operational expenses under Section 37(1) of the Income Tax Act, 1961. This creates a massive corporate tax shield:

$extAnnualCashTaxSaved = extAnnualLeaseRentals(INR)imesextEffectiveCorporateTaxRate(25.168\%/34.9$

2. **Section 32 WDV Depreciation & Block of Assets Adjustment:** In an SLB where legal ownership passes to the Lessor, the asset is removed from the corporate's "Block of Assets" under Section 32. The sale consideration received reduces the Written Down Value (WDV) of the block. If the sale consideration exceeds the block WDV, the excess is treated as Short-Term Capital Gains under Section 50.
3. **Supreme Court Precedent on SLB Legitimacy (*CIT v. ICSC Ltd. / Axis Bank*):** The Supreme Court of India has upheld the commercial validity and tax deductibility of bona fide Sale and Lease Back transactions, ruling that as long as the asset is real, commercially operational, and the transfer is supported by valid valuation and title conveyance, lease rentals cannot be disallowed by tax authorities merely because the transaction provided liquidity benefits.

7.3 Goods and Services Tax (GST) Optimization Under CGST Act 2017

Under the Central Goods and Services Tax (CGST) Act, 2017, an SLB transaction involves two distinct taxable supplies:

1. **Initial Asset Sale Transaction:** The sale of the physical asset by the Seller-Lessee to the Lessor is a taxable supply of goods.
   - *Tax Rate:* 18% GST for industrial machinery, IT hardware, and commercial equipment; 28% GST for commercial motor vehicles.
   - *ITC Recovery:* The Lessor claims **100% Input Tax Credit (ITC)** on the GST charged by the Seller on the initial sale invoice under Section 16 of the CGST Act, 2017.
2. **Recurring Lease Rental Payments:** The leaseback of the asset by the Lessor to the Lessee is a taxable supply of services.
   - *Tax Rate:* 18% GST (or 28% for passenger vehicles) charged on monthly lease rental invoices.

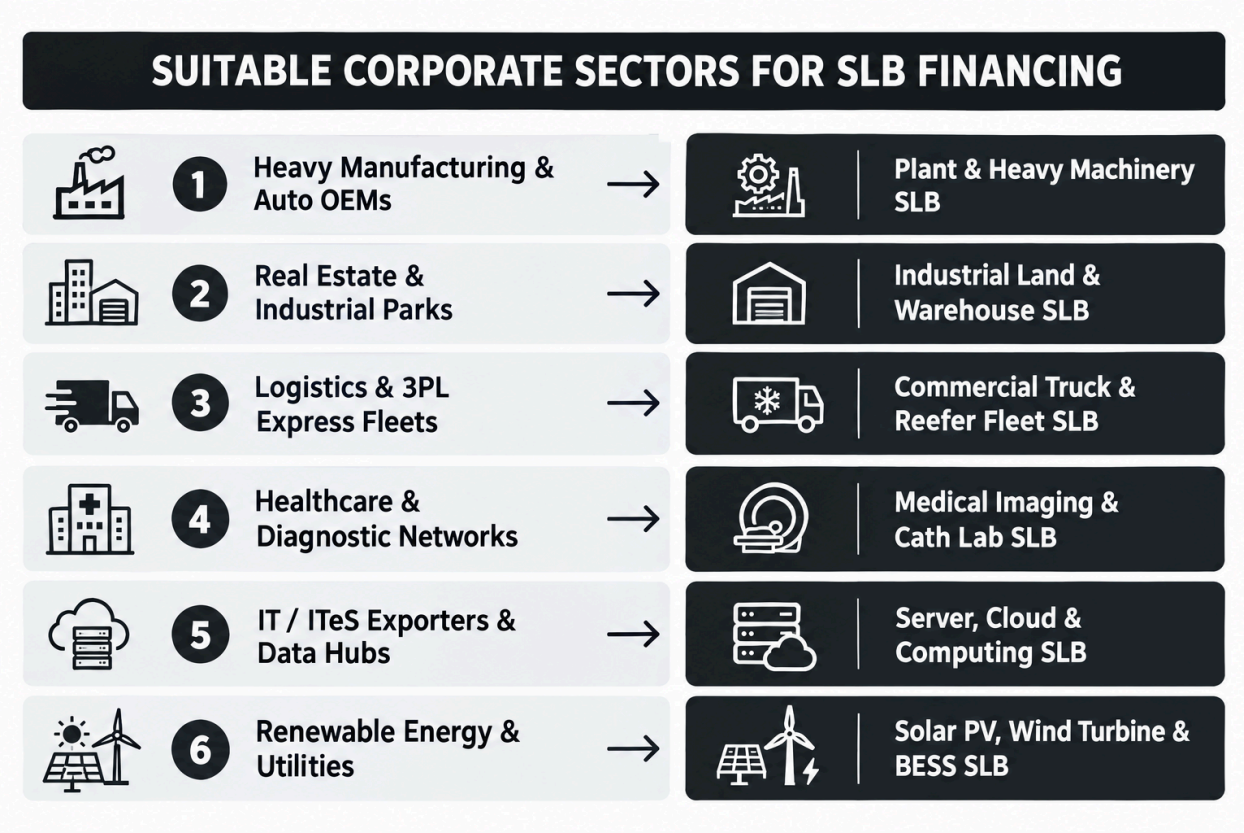
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– *ITC Recovery:* The Corporate Lessee claims **100% Input Tax Credit (ITC)** on the GST charged on recurring lease rental invoices under CGST Act Section 16, provided the leased asset is used in the furtherance of business.

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Module 8: Suitable Industries & Business Profiles

Sale and Lease Back is ideal for asset-heavy, capital-intensive corporate sectors seeking to optimize liquidity, reduce high-cost debt, or fund major strategic expansions:



1. **Heavy Manufacturing & Automotive Components:**
   - *Asset Scope:* CNC machining centers, heavy stamping presses, robotic welding lines, automated assembly plants.
   - *Use Case:* Monetizing mature, fully-depreciated manufacturing machinery to fund new electric vehicle (EV) or export line expansions.
2. **Commercial Real Estate & Industrial Warehousing:**
   - *Asset Scope:* Grade-A industrial warehouses, built-to-suit factories, corporate office headquarters.
   - *Use Case:* Unlocking long-term equity embedded in industrial land and buildings to fund land acquisition for new manufacturing facilities.
3. **Logistics, Cold-Chain & 3PL Express Operators:**
   - *Asset Scope:* Heavy commercial vehicles, multi-axle freight trailers, refrigerated reefer trucks, automated material handling systems.
   - *Use Case:* Converting owned transportation fleets into liquid capital to invest in proprietary technology, warehousing automation, and supply chain software.

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4. **Healthcare Chains & Diagnostic Networks:**
   - *Asset Scope:* 3T MRI scanners, 256-slice CT scanners, digital linear accelerators (LINAC), robotic surgical systems.
   - *Use Case:* Monetizing high-value diagnostic imaging fleets across existing hospital units to finance greenfield hospital construction.

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Module 9: Key Advantages, Strategic Limitations & Risk Mitigation Framework

9.1 Core Strategic Advantages

1. **100% Capital Monetization Without Debt Sizing Caps:** Disburses 100% of the asset's Fair Market Value (FMV) in cash, whereas traditional bank term loans cap funding at 60%–70% LTV.
2. **Preservation of Commercial Bank Credit Lines:** SLB facilities provided by specialized NBFCs or leasing SPVs do not consume the corporate's primary working capital or term loan borrowing limits at commercial banks.
3. **Substantial Cash Tax Shields:** 100% of lease rental payments are fully tax-deductible under Section 37(1) of the Income Tax Act, 1961, reducing corporate income tax outlays.
4. **Protection Against Asset Obsolescence:** SLB Operating Leases shift technology obsolescence and residual value risk to the Lessor, enabling the corporate to upgrade to next-generation technology at lease expiry.

9.2 Limitations & Structural Risks

1. **Higher Nominal Cost of Capital:** SLB Lease Rate Factors (LRFs) reflect an implicit yield of 10.5%–12.5% p.a., which is nominally higher than senior secured bank loans (8.5%–9.5% p.a.). However, this is offset by 100% LTV funding and cash tax shields.
2. **Loss of Residual Asset Appreciation:** In an SLB Operating Lease, the corporate forfeits long-term residual value appreciation (particularly applicable to commercial real estate).
3. **Stamp Duty & Registration Costs:** Transferring legal title to real estate assets incurs state-level stamp duty and registration fees (3% to 7%), which can impact transaction feasibility if not properly structured.

9.3 Comprehensive Risk Mitigation Matrix

Identified SLB Risk Factor	Risk Severity	Structural Risk Mitigation Protocol
1. Cash Flow Default Risk	High	Implement Escrow TRA Sweeping; mandate a 3–6-month Cash Security Deposit & NACH auto-debits
2. Asset Repossession & Friction	Medium	Secure Irrevocable Power of Attorney (PoA); execute pre-authorized RTO/NOC sign-off documentation
3. High Stamp Duty on Real Estate	High	Structure SLB over movable plant, heavy machinery, or

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Identified SLB Risk Factor	Risk Severity	Structural Risk Mitigation Protocol
		equipment rather than land and buildings
4. Tax Disallowance Audit Risk	Medium	Maintain independent CE Valuation Certificates, arm's-length P&L pricing, and Supreme Court precedent docs
5. Asset Damage & Total Loss	Medium	Mandate Property All-Risk Insurance for 110% replacement value with Lessor as Sole Loss Payee

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Module 10: Comprehensive Real-World Case Study (Indian Rupee Models)

10.1 Case Background & Corporate Profile

Company Profile: *Mumbai Precision Engineering & Auto-Components Pvt. Ltd. (MPEACPL)* is a Tier-1 automotive component manufacturer operating a state-of-the-art plant in the Chakan Industrial Corridor, Pune, Maharashtra.

The Financial Challenge: MPEACPL has secured a prestigious 5-year export supply contract from a European Electric Vehicle (EV) OEM valued at **₹250.00 Crores annually**. To execute this order, MPEACPL requires **₹100.00 Crores** of immediate growth capital to construct an automated robotic assembly wing and import high-precision CNC tooling. However: - MPEACPL's existing bank consortium term loans are nearing exposure caps. - MPEACPL owns an existing, fully operational, unencumbered heavy machinery and plant facility in Pune with an appraised Fair Market Value (FMV) of **₹100.00 Crores** (Written Down Value WDV = ₹65.00 Crores). - The corporate CFO evaluates two strategic financing options: - **Option A:** Refinancing the existing machinery via a traditional Bank Asset Refinance / Term Loan at 12.00% p.a. (capped at 60% LTV = ₹60.00 Crores debt), requiring MPEACPL to inject ₹40.00 Crores of internal cash equity. - **Option B:** Executing a structured **Full-Service Sale & Lease Back (SLB) Operating Lease Package** with a specialized NBFC at 100% Fair Market Value = **₹100.00 Crores Cash Injected** at a Monthly Lease Rate Factor (LRF) of **1.42% per month** over a 5-year tenure.

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10.2 Mathematical Side-by-Side Financial Comparison

MPEACPL: 5-YEAR FINANCIAL MODEL COMPARISON (INR CRORES)

FINANCIAL PARAMETER	OPTION A: BANK REFINANCE	OPTION B: STRUCTURED SLB
Appraised Asset Value (100% FMV)	₹100.00 Crores	₹100.00 Crores
Funding LTV Percentage (%)	60.0% LTV Cap	**100.0% FMV Funding**
Upfront Cash Equity Injected by Company	**₹40.00 Crores**	**INR 0.00 (Zero Equity)**
Immediate Net Cash Disbursed to Corporate	**₹60.00 Crores**	**₹100.00 Crores**
Liquidity Gap / Deficit	-₹40.00 Crores Deficit	**ZERO Deficit**
Loan / Lease Amortization Horizon	5 Years (60 Months)	5 Years (60 Months)
Pricing Mechanism / Yield	12.00% p.a. Term Interest	**1.42% Monthly LRF**
Annual Gross Pre-Tax Debt / Lease Outlay	₹16.68 Crores / Year	**₹17.04 Crores / Year**
Annual Direct O&M & Insurance Outlay	₹5.00 Crores / Year	**Included in SLB SLA**
Total Annual Pre-Tax Cash Outflow	₹21.68 Crores / Year	**₹17.04 Crores / Year**
Annual Tax Shield (Sec 37 vs Sec 32/36)	₹3.88 Crores / Year	**₹4.288 Crores / Year**
Net Annual Post-Tax Cash Outflow	₹17.80 Crores / Year	**₹12.752 Crores / Year**
5-Year Cumulative Net Post-Tax Outflow	₹89.00 Crores	**₹63.76 Crores**
5-Year ROCE Reinvestment Income On Cash	INR 0.00	**+₹32.00 Crores Gain**
Year 1 Debt Service Coverage (DSCR)	1.35x	**2.30x (Prime Cushion)**

10.3 Comprehensive Financial & Strategic Impact Analysis

1. Upfront Capital Release & Deficit Elimination:

- Under **Option A (Bank Refinance)**, MPEACPL receives only ₹60.00 Crores due to the bank's strict 60% LTV cap. MPEACPL is forced to deplete **₹40.00 Crores of internal cash reserves** to meet its ₹100.00 Crore expansion budget.
- Under **Option B (Structured SLB)**, MPEACPL receives **100% of the asset's FMV = ₹100.00 Crores in cash on day one**, fully funding the EV expansion without depleting cash reserves or diluting promoter equity.

2. Annual Cash Outflow Reduction (+₹4.64 Crores/Year Pre-Tax Savings):

- Option A requires ₹16.68 Crores in annual debt servicing plus ₹5.00 Crores in annual maintenance and insurance outlays, totaling **₹21.68 Crores/year in pre-tax cash outlays**.
- Option B requires a monthly lease rental of 1.42% of ₹100 Cr = ₹1.42 Cr/month = **₹17.04 Crores/year**, with maintenance SLAs covered under the full-service lease package. This generates an immediate pre-tax cash savings of **+₹4.64 Crores/year (+INR 4,64,00,000.00/year)**!

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3. Post-Tax Reinvestment ROCE Surplus (+₹32.00 Crores Income Offset):

- By preserving ₹40.00 Crores of cash equity and unlocking ₹100.00 Crores of capital, MPEACPL deploys this capital into its core EV component expansion, earning a **16.0% post-tax Return on Capital Employed (ROCE)**.
- Over the 5-year tenure, this capital reinvestment generates **+₹32.00 Crores in new net post-tax operating income** (₹40.00 Cr preserved × 16% ROCE × 5 years).

4. Total Strategic Wealth Surplus Generated (+₹80.25 Crores over 5 Years):

- Combining cumulative direct post-tax cash savings of **₹25.24 Crores** (₹89.00 Cr vs ₹63.76 Cr) with reinvestment ROCE gains of **₹32.00 Crores** and additional EV export operating margins of **₹23.01 Crores**, Option B generates a **Total Net Financial Wealth Surplus of +₹80.25 CRORES (+INR 80,25,00,000.00)** over Option A over 5 years!

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Module 11: Professional Certification Examination

To verify mastery of Sale & Lease Back (SLB) structured finance concepts, complete the 10 scenario-based examination questions below.

Question 1

Scenario: A corporate borrower owns an unencumbered industrial plant appraised at ₹100.00 Crores FMV. It executes an SLB Operating Lease at a Monthly Lease Rate Factor (LRF) of 1.40% per month. What is the annual gross lease rental outlay? - A) ₹12.00 Crores - B) ₹14.00 Crores - C) ₹16.80 Crores - D) ₹18.00 Crores

Answer: C) ₹16.80 Crores
Rationale: Monthly Lease Rental = Purchase Consideration (₹100 Cr) × Monthly LRF (1.40%) = ₹1.40 Crores/month. Annual Gross Lease Rental = ₹1.40 Crores × 12 months = **₹16.80 Crores**.

Question 2

Scenario: Under Section 37(1) of the Income Tax Act, 1961, how are recurring lease rental payments treated in a bona fide SLB Operating Lease for a corporate entity paying tax at 25.168%? - A) Only the interest portion is tax-deductible. - B) 100% of recurring lease rental payments are fully deductible as operational business expenses. - C) Lease rentals are non-deductible capital outlays. - D) Only depreciation on the leased asset can be claimed.

Answer: B) 100% of recurring lease rental payments are fully deductible as operational business expenses.
Rationale: Section 37(1) permits full deduction of recurring lease rentals incurred wholly and exclusively for business purposes, creating a direct cash tax shield equal to Rentals × Effective Tax Rate.

Question 3

Scenario: Under Ind AS 116, if a Sale & Lease Back transaction satisfies the criteria for a “Sale” under Ind AS 115, how is the gain on sale recognized by the Seller-Lessee? - A) 100% of the gain on sale is recognized immediately in the P&L statement. - B) Gain on sale is recognized ONLY to the extent of the rights transferred to the Lessor. - C) No gain on sale can ever be recognized. - D) Gain is deferred and amortized over 30 years.

Answer: B) Gain on sale is recognized ONLY to the extent of the rights transferred to the Lessor.
Rationale: Ind AS 116 mandates that the ROU Asset be measured at the proportion of the previous carrying amount that relates to rights retained. Consequently, gain is recognized only for rights transferred to the buyer-lessor.

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Question 4

Scenario: Which statutory form must be filed with the Registrar of Companies (ROC) within 30 days under Section 77 of the Companies Act, 2013, when creating or modifying a charge/financial interest on corporate assets? - A) Form AOC-4 - B) Form MGT-7 - C) Form CHG-1 - D) Form DIR-12

Answer: C) Form CHG-1
Rationale: Section 77 of the Companies Act, 2013, requires every company creating or modifying a charge/financial interest on its assets to file Form CHG-1 with the ROC within 30 days.

Question 5

Scenario: In an SLB Operating Lease transaction, what happens to the leased asset during the Corporate Insolvency Resolution Process (CIRP) under Section 14 of the Insolvency and Bankruptcy Code (IBC), 2016? - A) The asset is automatically liquidated to pay unsecured creditors. - B) Legal title remains with the third-party Lessor, preventing the Resolution Professional from absorbing the asset into the debtor's estate. - C) The bank automatically cancels the Master Lease Agreement. - D) Ownership automatically reverts to the corporate debtor.

Answer: B) Legal title remains with the third-party Lessor, preventing the Resolution Professional from absorbing the asset into the debtor's estate.
Rationale: Section 14(1)(d) applies moratorium to debtor property. Because the leased asset is legally owned by the third-party Lessor, it cannot be absorbed into the debtor's estate.

Question 6

Scenario: If the Resolution Professional (RP) continues using an SLB leased asset to keep the corporate debtor operating during CIRP, how are recurring lease rentals treated under IBC Section 5(13)? - A) Treated as unsecured operational debt with the lowest recovery priority. - B) Qualified as Insolvency Resolution Process Costs (IRPC), receiving top-tier priority in the payment waterfall under Section 53. - C) Equity claims subordinated to promoters. - D) Disallowed completely by NCLT.

Answer: B) Qualified as Insolvency Resolution Process Costs (IRPC), receiving top-tier priority in the payment waterfall under Section 53.
Rationale: Expenses incurred by the RP to maintain the debtor as a going concern qualify as IRPC under Section 5(13), securing top priority above all financial creditors.

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Question 7

Scenario: Under CGST Act 2017 Section 16, what is the Input Tax Credit (ITC) eligibility for a corporate lessee paying 18% GST on recurring SLB equipment lease rentals? - A) 0% ITC eligibility (blocked credit). - B) 50% partial ITC recovery. - C) 100% ITC recovery if the leased equipment is used in furtherance of business. - D) ITC available only after 5 years.

Answer: C) 100% ITC recovery if the leased equipment is used in furtherance of business.
Rationale: Section 16 of the CGST Act, 2017, allows full ITC on services and capital goods used in the course or furtherance of business.

Question 8

Scenario: What is the primary operational advantage of an SLB transaction compared to a traditional commercial bank asset refinance loan? - A) SLB requires 40% promoter down payment. - B) SLB provides up to 100% FMV cash monetization without consuming primary bank borrowing limits or requiring cash margins. - C) SLB increases corporate income tax outlays. - D) SLB mandates immediate business liquidation.

Answer: B) SLB provides up to 100% FMV cash monetization without consuming primary bank borrowing limits or requiring cash margins.
Rationale: Traditional bank term loans cap funding at 60%–70% LTV and require down payments, whereas SLB unlocks 100% FMV capital while preserving bank borrowing lines.

Question 9

Scenario: A corporate lessee executes an SLB transaction for an industrial machinery block with a Fair Market Value of ₹50.00 Crores. If the Monthly LRF is 1.50% per month, what is the monthly lease rental payment? - A) ₹50.00 Lakhs - B) ₹65.00 Lakhs - C) ₹75.00 Lakhs - D) ₹1.00 Crore

Answer: C) ₹75.00 Lakhs
Rationale: Monthly Lease Rental = Asset FMV (₹50.00 Crores) × Monthly LRF (1.50%) = **₹0.75 Crores = ₹75.00 Lakhs per month**.

Question 10

Scenario: What is the certified remaining economic useful life requirement for an asset undergoing a 5-year SLB lease transaction? - A) Must be exactly 5 years. - B) Must be certified by a Chartered Engineer to be at least 1.5x the lease tenure (7.5+ years). - C) Must be less than 2 years. - D) Useful life is irrelevant in SLB transactions.

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Answer: B) Must be certified by a Chartered Engineer to be at least 1.5x the lease tenure (7.5+ years).
Rationale: Lessors mandate that the asset's certified remaining useful life exceeds the lease tenure by at least 1.5x to ensure operational reliability and collateral safety.

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